

ments, which have weakened in recent years with gross FDI inflows falling to \$71 billion in FY23 and FY24 from \$84.83 billion in FY22 and rebounding only partially to \$81 billion in FY25. A more concerning trend has been the drop in net FDI inflows to a mere \$0.4 billion in FY25 from \$10.1 billion a year ago.

Besides, a full-fledged recovery in private investments remains out of grasp despite India Inc recording strong profits in recent years. The investment growth in FY25 remained robust at 7.1%, though marginally lower than the 8.8% reported in FY24. But it is less than half the average growth of 14.5% during FY05-FY08, says a report by India Ratings and Research.

Experts also point out that in the current period of global volatility, India must build resilience and become self-dependent. Arun Singh, Global Chief Economist at data and analytics firm Dun & Bradstreet, points out that India's target of becoming a \$30 trillion economy by 2047 is huge.

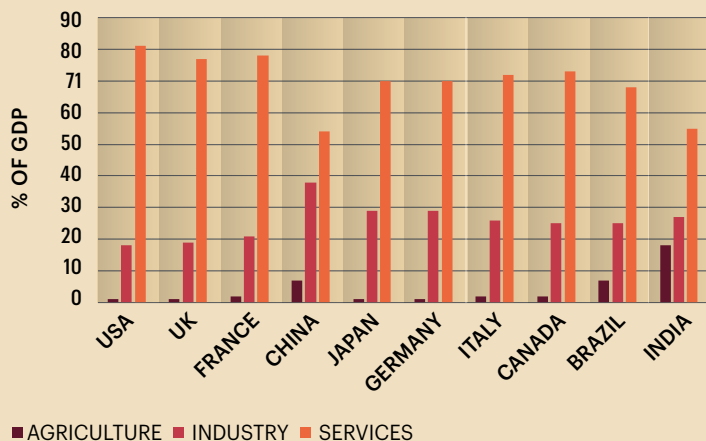
"At this point, where de-globalisation is taking place, creating uncertainty about global trade and economics, India's core strategy must be to build resilience, but this has to be done through collaboration and not through a policy of isolation," says Singh.

Ashwani Mahajan, National Co-Convenor of the Rashtriya Swayamsevak Sangh-affiliated economic policy think tank Swadeshi Jagran Manch, also notes that a massive churning is taking place globally and countries are not very happy with globalisation. "In such a scenario, turning Swadeshi is the only way forward," he says.

"We have to find out-of-the-box solutions and means to build up our manufacturing capability. It has to be a whole of government approach," says Mahajan. He adds that India needs to manufacture high quality goods to meet the growing aspirations of its 1.4 billion strong population or it risks running a higher trade deficit due to increased imports.

GLOBAL SCENARIO

- The share of industry in China's GDP was 38% in 2023
- India's industry is expected to outpace agriculture and contribute 30-32% to GDP by 2035, led by manufacturing



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NEW FRONTIERS, NEW MARKETS

The government is looking at several measures to boost manufacturing and exports, including tapping new markets and some high tech and labour-intensive sectors, where India retains a competitive advantage.

Several building blocks for India's manufacturing ambitions are in place—whether it is the GST or physical infrastructure through Gati Shakti and the National Industrial Corridors that aim to enhance logistics and make it easier to set up factories.

Policies such as Make in India, PLI, various export incentives and measures to improve ease of doing business have brought in significant interest and investments in sectors like electronics and semiconductors.

For instance, India's smartphone exports grew by 55% year-